

BE451 - Degree Project in Finance

Fall 2026

Tutors and possible thesis topics

Marieke Bos

Research interests: Household finance, Behavioral finance

Potential thesis topics:

Thesis Topic 1: New (Digital) shrouded attributes

A decade ago Gabaix, X., & Laibson, D. (2018). Published their paper in the QJE, showing that having a share of the population that are unaware of their own inconsistent time preferences (self control problems) allows companies in a competitive market to shroud expensive add ons. In their original paper they took the example of printing cartridges, and hotel room amenities like charges for phone calls, parking spaces.

Since then the world has changed dramatically. In your thesis you could study new types of add ons, and how companies, consumer handle such shrouded costs. Examples I can think of, but students know much better are, computer games free initial access, but expensive add-ons like different appearance in the game, Avanza introduced just newly a fee free fund investment, are there later shrouded costs? almost free espresso machine & expensive coffee cups, cheaper airline tickets & expensive luggage, seat reservation.

NOTE! caveat with this idea is that you need to quickly find out if you can get access to data to actually study consumer and or firm behavior.

References:

Gabaix, X., & Laibson, D. (2006). Shrouded attributes, consumer myopia, and information suppression in competitive markets. The Quarterly Journal of Economics, 121(2), 505-540.

Thesis Topic 2: Payday Arbitrage

Since everyone in Sweden is paid on the same day i.e. 25th of the month. You could investigate if human behavior is influenced by predictable changes in liquidity right before and after payday.

<https://www.swish.nu/newsroom/news/rekordhelg-for-swish>

For example you could investigate by scraping sites with human behavior on shopping, selling, price setting etc You can relate this to the behavioral finance literature, on biased time preferences.

Thesis Topic 3: Paying not to go to the gym

A common notion in Behavioral economics is that people are optimistic about their own ability to follow through on their plans. So they know what is in their best interest, they want to do it, but don't manage to stick to it. Read for example this paper and the papers that cite this one: Della Vigna, S., &

Malmendier, U. (2006). Paying not to go to the gym. *American Economic Review*, 96(3), 694-719. What has been very tricky is to find a measure of individuals time inconsistencies and especially their awareness of these inconsistencies without running an experiment.

More and more companies implement a membership framework to have a steady stream of income/a retail commitment. Think of the new dentist membership, across the street of Handels, for example. A healthcare membership which can be seen as an insurance where you pay a fixed amount per month sounds good maybe at a first glance. However, having the gatekeeper (the actor who determines if you can get access to a treatment, e.g., the doctor, the dentist etc) combined with the actor that finances the treatment exposes consumers to a potential new set of conflict of interests.

Students can think about firms that utilize a membership to deliver a service consumers want, but are reluctant to stick to (gym, dentist, Scooter (bolt, lime, VOI) etc) or services consumers have a tough time to stay away from (streaming services, AI, social media, etc) to analyze how commitment devices play out for different types of consumers.

More specifically, for example If you manage to convince, a gym SATS/ Friskis and Svettis to share data, pre and post the introduction of for example punishment schemes (see below) it would give you an opportunity to study this topic in an original manner.

Gyms now a days introduced policies to punish members for booking classes and not showing up. This data on membership bookings, and utilization pre and post the introduction of these policies would enable you identify individuals with such time inconsistent preferences, and would enable you to answer some interesting questions:

- Do gym members learn over time? Does the punishment make their over optimism more salient, do they change their behavior, if so how?
- Do they become more risk averse and not book classes they might not show up for? Or does this help them to show up (keeping their old booking habits)
- Ultimately, does this help people to go more to the gym or not?
- Is this good for the firm (the gym)? Does class utilization increase? Do they loose or gain money on this?

Thesis Topic 4: Does shareholder voting influence corporate behavior?

AP7 has a potential thesis topic in mind, “which involves correlating our voting with outcomes. In its simplest form: We vote against directors of companies that fail to meet our expectations on climate disclosure. Does our voting lead to improved disclosure? There is of course a range of issues that we vote on, so the question can also be formed differently. AP7 has a dataset from ISS that covers all our 2,000 (previously 3,000) holdings over quite many years.”

Alvin Chen

Research interests: Sustainable finance, project finance, labor and finance, AI and finance, corporate finance.

Potential thesis topics:

Thesis Topic 1: Do ESG funds outperform—or do they simply hold different industries?

The thesis could compare the performance of ESG/sustainable equity funds with conventional funds, but explicitly decompose the return difference into sector exposure, factor exposure, and residual alpha. A particularly useful version would ask whether apparent ESG outperformance is concentrated in particular periods—for example, when green stocks outperform brown stocks—or disappears once the portfolio is benchmarked against industry-matched portfolios.

References:

Pástor, L., Stambaugh, R. F., & Taylor, L. A. (2022). “Dissecting Green Returns.” *Journal of Financial Economics*, 146(2), 403–424.

Hartzmark, S. M., & Sussman, A. B. (2019). Do investors value sustainability? A natural experiment examining ranking and fund flows. *The Journal of Finance*, 74(6), 2789-2837.

Thesis Topic 2: The role of revenue risk in financing renewable power projects.

The thesis could build a hand-collected dataset of European wind/solar projects and document how the projects are financed: project finance versus sponsor balance-sheet finance, debt versus equity, number/type of lenders, and whether the project has a power purchase agreement (PPA), feed-in tariff, contract-for-difference (CfD), or merchant exposure. Many questions can be investigated. For instance, the thesis could test whether projects with PPAs/CfDs have higher leverage, longer debt maturities, or are more likely to use non-recourse project finance than merchant projects.

Alternatively, the thesis could take a case-study approach and examine a particular project in detail. Such a case study could highlight how a particular sponsor approaches financing.

References:

Steffen, B. (2018). The importance of project finance for renewable energy projects. *Energy Economics*, 69, 280-294.

Sánchez Canales, J., & Hirth, L. (2026). De-risking renewable energy investments: Assessing contract design and project finance using operational wind park data. arXiv e-prints, arXiv-2605, <https://arxiv.org/pdf/2605.23400>.

Thesis Topic 3: Does AI adoption change who firms hire and what workers are asked to do?

The thesis could use job postings to study whether firms that adopt AI subsequently change the composition rather than simply the level of labor demand. For example, construct a firm-level measure of AI adoption using AI-related vacancies or AI mentions, and examine changes in:

- junior versus senior hiring;
- educational requirements;

- requested skills;
- routine production tasks versus monitoring/review/coordination tasks;
- AI-complementary versus AI-substitutable occupations.

Alternatively, the thesis could take a case study approach and investigate how a particular firm's adoption of AI has changed its organization of work.

References:

Acemoglu, D., Autor, D., Hazell, J., & Restrepo, P. (2022). Artificial intelligence and jobs: Evidence from online vacancies. *Journal of Labor Economics*, 40(S1), S293-S340.

Brynjolfsson, E., Li, D., & Raymond, L. (2025). Generative AI at work. *The Quarterly Journal of Economics*, 140(2), 889-942.

Thesis Topic 4: What do ESG fund mandates actually say? A prospectus-based taxonomy of ESG strategies

ESG funds describe their “mandate” in prospectuses/KIIDs (e.g., exclusions, best-in-class tilts, ESG integration, impact objectives, engagement/stewardship). This thesis could build a text-based mandate classification for a set of Swedish-domiciled equity funds and validate it against holdings-based ESG characteristics (e.g., portfolio carbon intensity, ESG ratings, sector exclusions). It could then test whether mandate strictness/clarity predicts (i) fees, (ii) flows, and (iii) factor-adjusted performance. A natural extension is to measure the gap between stated ESG mandates and realized portfolio characteristics, which may provide evidence on the extent to which stated sustainability objectives are reflected in actual holdings.

References:

Andrikogiannopoulou et al (2025). Empty ESG Promises: A Text Analysis of Mutual Fund Prospectuses

https://papers.ssrn.com/sol3/papers.cfm?abstract_id=4082263

Curtis, Q., Fisch, J., & Robertson, A. Z. (2021). Do ESG mutual funds deliver on their promises?. *Michigan Law Review*, 393-450.

Anastasia Girshina

Research interests: Household / consumer finance, real estate finance, entrepreneurship, wealth inequality, gender inequality

Potential thesis topics:

Thesis Topic 1: Financial literacy and wealth distribution

Short description: Much attention has been paid to understanding the drivers of wealth inequality. One potential reason could be differences in how individuals fair with their daily financial decisions. The thesis would document the differences in financial literacy across individuals and their financial well-being.

Possible data source: Dutch Household Finance Survey

References:

Lusardi, Annamaria, and Olivia S Mitchell. 2014. The economic importance of financial literacy: Theory and evidence. *Journal of Economic Literature*, 52(1):5--44.

Thesis Topic 2: Determinants of household portfolio choice

Short description: There are notorious differences in how households manage their finances: some people save much while others save little, some invest in stock markets while others don't, some buy a house while others rent. The thesis would document the trends in household portfolio choices and investigate possible reasons for the differences.

Possible data source: Survey of Consumer Finances.

References:

Guiso, Luigi and Paolo Sodini. 2013. Chapter 21 in *Handbook of the Economics of Finance*, 2013, vol. 2, pp 1397-1532 from Elsevier

Gomes, Francisco, Michael Haliassos and Tarun Ramadorai. 2021. "Household Finance." *Journal of Economic Literature*, 59 (3): 919–1000.

Thesis Topic 3: Macroprudential regulation and real estate markets (for example, in Sweden).

Short description: Since the financial crisis, macroprudential regulation became one of the main tools used by policy maker to regulate financial markets. The thesis would document the relation between such measures implemented in Sweden and the real estate markets nationwide.

References:

Adelino, Manuel, Antoinette Schoar, Felipe Severino. 2025. Credit supply and house prices: Evidence from mortgage market segmentation, *Journal of Financial Economics*, Volume 163.

Atif Mian, Amir Sufi, The Consequences of Mortgage Credit Expansion: Evidence from the U.S. Mortgage Default Crisis. 2009. *The Quarterly Journal of Economics*, Volume 124, Issue 4, Pages 1449–1496.

Michael Klug

Research interests: asset pricing, index investment, machine learning, demand curves, market microstructure.

Potential thesis topics:

Thesis Topic 1: The Impact of the Swedish Fund Selection Agency (Fondtorgsnämnden) on the Mutual Fund Market.

Short description: The introduction of the Swedish Fund Selection Agency (Fondtorgsnämnden) in 2022 aimed to enhance the transparency and efficiency of the Swedish mutual fund market. This project seeks to investigate the effects of Fondtorgsnämnden on the mutual fund market, focusing on the changes experienced by fund management companies and investors. The thesis could research the effect on the variety and quality of mutual fund offerings, prices and fee structures, investor behaviour, or broader market implications such as efficiency. Students are free to develop the research question and choice of methodology.

References:

Berk, J. B., & Green, R. C. (2004). Mutual fund flows and performance in rational markets. *Journal of political economy*, 112(6), 1269-1295.

Leippold, M., & Rueegg, R. (2020). How rational and competitive is the market for mutual funds?. *Review of Finance*, 24(3), 579-613.

Thesis Topic 2: The Price of Index Inclusion: Passive Demand and Stock Prices.

Short description: The rapid inclusion of SpaceX into major stock market indices following its IPO provides a timely case for studying how index-driven investment flows affect stock prices. Index inclusion creates demand from passive and benchmark-tracking investors that is largely unrelated to changes in the fundamental value of the underlying company. If investors cannot or do not fully accommodate this additional demand, index inclusion may therefore generate price pressure and provide evidence of downward-sloping demand curves for individual stocks. A good thesis may explore these questions through the case study of SpaceX, investigating price and trading dynamics around its index inclusion. A great thesis will extend the analysis to a larger sample of index additions and investigate whether systematic inclusion effects can be identified across firms. The thesis could examine abnormal returns around announcement and inclusion dates, subsequent price reversals, trading volume and liquidity, and use the size of index-related demand to investigate the price elasticity of stocks. Differences in the supply of tradable shares, such as free float, may provide an additional mechanism for explaining variation in inclusion effects where suitable data are available. Students are free to develop the research question, choice of index, sample, and empirical methodology.

References:

Wurgler, J., & Zhuravskaya, E. (2002). Does arbitrage flatten demand curves for stocks? *The Journal of Business*, 75(4), 583–608.

Schnitzler, J. (2018). S&P 500 inclusions and stock supply. *Journal of Empirical Finance*, 48, 91–116.

Thesis Topic 3: The Impact of Volume Caps on Dark Trading Activity.

Short description: Under MiFID II, the EU introduced the Double Volume Cap (DVC) to limit dark trading and promote transparent price discovery by temporarily suspending dark trading in stocks that exceed specified volume thresholds. While previous research has examined the impact of these suspensions on liquidity, market quality, and trading activity, less is known about what happens after the suspension ends. If trading simply returns to the original venues, the regulation may primarily redistribute trading volume across exchanges rather than permanently alter trading behaviour. To what extent do Double Volume Cap suspensions create lasting changes in trading activity, and to what extent do they merely shift trading volume between venues? Students may explore the evolution of trading volumes before, during, and after suspension periods and assess the implications for the effectiveness of market regulation. The precise research question, methodology, and empirical approach can be developed independently by the student.

References:

- Neumeier, C., Gozluklu, A., Hoffmann, P., O'Neill, P., & Suntheim, F. (2023). Banning dark pools: Venue selection and investor trading costs. *Journal of Financial Markets*, 65, 100831.
- Comerton-Forde, C., & Putniņš, T. J. (2015). Dark trading and price discovery. *Journal of Financial Economics*, 118(1), 70-92.

Thesis Topic 4: Determining Factors for Success When Hiring a Liquidity Provider (LP).

Short description: Many listed companies, particularly small and mid-cap firms, face challenges related to low trading activity, wide bid-ask spreads, and limited investor attention. To improve the liquidity and tradability of their shares, some firms choose to engage a Liquidity Provider (LP), whose role is to support continuous trading and enhance market quality. Academic research suggests that LPs and designated market makers can improve liquidity and reduce trading frictions, although the benefits may vary substantially across firms. This thesis will investigate the characteristics of firms that choose to hire a liquidity provider and explore the factors associated with successful outcomes following LP engagement. Success may be evaluated through various dimensions such as liquidity, trading activity, valuation, investor participation, or stock market performance. Students are expected to develop their own research question(s), define how success should be measured, and choose an appropriate empirical methodology. Both the scope of the analysis and methodological approach are open, provided they are well motivated.

References:

- Menkveld, A. J., & Wang, T. (2013). How do designated market makers create value for small-caps?. *Journal of Financial Markets*, 16(3), 571-603.
- Bessembinder, H., Hao, J., & Zheng, K. (2020). Liquidity provision contracts and market quality: Evidence from the New York Stock Exchange. *The Review of Financial Studies*, 33(1), 44-74.
- Bellia, M., Pelizzon, L., Subrahmanyam, M. G., & Yuferova, D. (2025). Market liquidity and competition among designated market makers. *Management Science*, 71(1), 184-201.

Thesis Topic 5: Tokenization and the Future of Financial Markets.

Short description: Tokenization, the representation of financial assets on distributed ledger technology (DLT), is increasingly being explored by exchanges, regulators, central banks, and other market participants. Proponents argue that tokenization could improve efficiency, reduce costs, and enable new forms of trading, settlement, and asset ownership. At the same time, it raises important questions about how financial markets are organized and how market participants interact. As tokenized securities move from concept to implementation, there is growing interest in understanding their potential impact on market liquidity, price discovery, transparency, settlement processes, competition between trading venues, and the role of traditional market infrastructures. While the technology has attracted significant attention, many of its economic implications remain uncertain and are the subject of ongoing academic and policy debate. How might tokenization change the structure, efficiency, and functioning of financial markets? Students may approach this topic from a variety of perspectives and are free to develop a more specific research question based on their interests. A thesis may take the form of a literature review, a conceptual analysis, or an empirical study, depending on the chosen focus and available data.

Important: Students are expected to demonstrate a thorough understanding of the academic literature they cite. During the thesis process and final presentation, they should be able to discuss the key arguments, methodologies, assumptions, and findings of the papers on which their work is based. This requirement is intended to ensure independent academic engagement with the subject matter and that the thesis reflects the student's own understanding and critical thinking rather than merely the output of AI-based tools.

References:

Yermack, D. (2017). Corporate governance and blockchains. *Review of finance*, 21(1), 7-31.

Organisation for Economic Co-operation and Development. (2025). Tokenisation of assets and distributed ledger technologies in financial markets. OECD Publishing. <https://doi.org/10.1787/40e7f217-en>

Adrian, T. (2026). Tokenized Finance. International Monetary Fund.

Laszlo Sajtos

Research interests: Sustainable finance/ESG (incl. climate risk, responsible investing); climate/development finance; AI and automation; open to any ideas in asset pricing and corporate finance.

Potential thesis topics:

Thesis Topic 1: The Stock Market Reactions to Recent EU Climate Policies.

Short description: The EU has strengthened its climate policy framework in recent years to achieve its medium- and long-term climate targets. Recent developments include reforms of the EU Emissions Trading System (EU ETS), the introduction of the Carbon Border Adjustment Mechanism (CBAM), new proposals concerning the EU's 2040 climate target, and the development of the emissions trading system for buildings and road transport (ETS2). There is already extensive literature examining how climate policies and climate-related events affect financial markets. However, more recent policy developments and their implications for different firms, sectors, and countries have received less attention. Students are encouraged to review the existing literature, identify a relevant recent climate-policy development and potential research gap, and develop their own research question, hypotheses, and empirical approach. Possible research questions could examine how CBAM-related announcements affect listed firms outside the EU, how financial markets respond to new information concerning the EU's 2040 climate target, or how firms respond to announcements concerning the introduction and design of ETS2. Using, for example, an event-study methodology, students can examine how the stock prices of listed firms react to the announcement, adoption, or implementation of specific climate policies. Such an analysis can provide insights into how investors perceive the expected costs and benefits of these policies and whether the effects differ depending on firms' carbon intensity, geographical exposure, sector, or position in the green transition. Students are free to develop a related research question and methodology.

References:

MacKinlay, A.C. (1997). Event Studies in Economics and Finance, J.Econ. Lit. 35 (1), 13-39

La Barbera, S. (2026). Competitive Shield or Carbon Burden? Evidence from Equity Market Reactions to CBAM Enforcement. Economics Letters, 113185.

Thesis Topic 2: Antitrust enforcement and downstream firms.

Short description: Anticompetitive practices can affect not only the firms directly involved but also firms further down the supply chain. Cartels among upstream suppliers may increase the prices paid by downstream firms for important inputs or capital goods, potentially affecting their profitability, investment decisions, and financing needs. The breakdown of a cartel may therefore have important financial consequences for firms that depend on the affected products. This thesis project seeks to investigate how the breakdown of an upstream cartel affects the financial performance and investment decisions of downstream firms in EU countries (or a single one if more feasible). One possible application is the European truck cartel, which involved several major truck manufacturers between 1997 and 2011. The European Commission identifies 18 January 2011 as the end of the infringement period. However, MAN applied for leniency in September 2010, and previous research has identified a structural break in the truck market around this date. The period around 2010–2011 therefore provides a potential setting for studying the financial consequences of the cartel's

breakdown. Previous research has documented overcharges associated with the truck cartel and examined their effects on firms purchasing trucks. Building on this literature, students could investigate whether firms with greater dependence on trucks (including firms that buy truck services) experienced changes in corporate investment, profitability, or other financial outcomes following the breakdown of the cartel. Another possibility is to examine whether these effects differ according to firms' financial constraints. The key empirical challenge is to approximate truck exposure based on available data. Students interested in this topic should start with identifying potential proxies. One starting point could be the Swedish context and the Serrano data.

References:

Ruiz, S. C., Pérez-Troncoso, D., Martin, J. M. M., & Medina, R. P. (2026). Truck manufacturers in Europe: collusive businesses and markets, and an approach to estimating economic impact. *Esic market*, 57(1), e453-e453.

Sampi, J., Vostroknutova, E. (2025) Antitrust Enforcement and Firm Performance: Evidence from Colombia's Sugar Market (English). Policy Research Working Paper; Prosperity Washington, D.C.: World Bank Group. <http://documents.worldbank.org/curated/en/099248406262520726>

Thesis Topic 3: Green bonds and the cost of financing in developing countries.

Short description: Green bonds have become an increasingly important instrument for financing climate-related investments. Previous research suggests that green bonds may trade at lower yields than comparable conventional bonds, resulting in a so-called greenium and potentially reducing financing costs for issuers. Some studies also suggest that the size of the greenium differs across countries and may be particularly relevant in emerging and developing economies. Developing and emerging markets are particularly interesting in this context, as they often face higher financing costs and substantial investment needs for the green transition, making the potential financing advantage associated with green bonds especially relevant. The purpose of this thesis is to replicate and extend an existing empirical study of the greenium, potentially with a focus on developing and emerging economies. Students can select an appropriate study from the literature and reproduce its main empirical analysis using an updated or extended dataset. The thesis should then develop an additional research question that extends the original analysis. Possible extensions include examining a longer and more recent time period, expanding the sample of countries or bonds, or investigating additional factors that may explain variation in the greenium. An ideal dataset would combine bond-level information on green and comparable conventional bonds, including yields, maturity, currency, issue size, credit rating and issuance date. Such data may be available through LSEG/Refinitiv or similar financial databases. Bond-level information can be complemented with country-level data from sources such as the World Bank, IMF and other publicly available databases.

References:

Sakai Ando, Chenxu Fu, Francisco Roch, and Ursula Wiriadinata. "How Large is the Sovereign Greenium?", IMF Working Papers 2023, 080 (2023), accessed 2026-08-22, <https://doi.org/10.5089/9798400235160.001>

Cortellini, G., & Panetta, I. C. (2021). Green bond: A systematic literature review for future research agendas. *Journal of Risk and Financial Management*, 14(12), 589.

Thesis Topic 4: Do development banks reduce investment risk in developing countries?

Short description: Private infrastructure projects in developing countries can be exposed to substantial political and institutional risks, potentially discouraging private investment. Multilateral development banks (MDBs) may help mitigate these risks through their participation in projects, thereby facilitating private investment in countries where financing would otherwise be difficult to obtain. The purpose of this thesis is to replicate and extend Jandhyala (2016), “International Organizations and Political Risk: The Case of Multilateral Development Banks in Infrastructure Projects.” The study examines infrastructure projects in developing countries between 1995 and 2009 and finds that projects involving MDBs are less likely to experience distress. Students can replicate the main analysis using an updated and substantially longer time period and develop their own extension to the original study. The main data source is the World Bank Private Participation in Infrastructure (PPI) Database, which provides freely available project-level information on infrastructure investments in low- and middle-income countries, including information on development-bank support. The project-level data can be combined with available country-level indicators from the World Bank and other international organizations. Students can freely develop research questions and replication based on other studies.

References:

Jandhyala, S. (2016). International Organizations and Political Risk–The case of multilateral development banks in infrastructure projects. World Bank, 23.

Thesis Topic 5: ChatGPT and financial markets.

Short description: Gr OpenAI launched ChatGPT on November 30, 2022, marking a major step in the rapid diffusion of generative artificial intelligence. The literature examining the economic and financial effects of generative AI is expanding rapidly, providing opportunities to revisit existing findings in new settings and to examine additional firm-level and financial-market outcomes. This project examines how the emergence of generative AI has affected firms and financial markets. Potential research questions include whether firms with greater exposure to AI experienced changes in firm value or financing costs, or whether AI exposure affected corporate investment, innovation, financing decisions, or other firm outcomes. The Serrano database and Nordic stock market data provide access to firm-level financial, accounting, and market data for Swedish firms, making Sweden a feasible setting for studying these questions. Students are encouraged to develop their own research question and empirical approach based on their interests and the available data. If sectors’ AI exposure becomes a relevant aspect, students can consult with <https://github.com/AIOE-Data/AIOE>

References:

Wu, Q., Zhuang, Q., Liu, Y., & Han, L. (2024). Technology shock of ChatGPT, social attention and firm value: Evidence from China. *Technology in Society*, 79, 102756.

Babina, T., Fedyk, A., He, A., & Hodson, J. (2024). Artificial intelligence, firm growth, and product innovation. *Journal of financial economics*, 151, 103745.

Eisfeldt, A. L., & Schubert, G. (2025). Generative AI and finance. *Annual Review of Financial Economics*, 17(1), 363-393.

Valentin Schubert

Research interests: Climate finance, Environmental economics, Financial intermediation.

Potential thesis topics:

Thesis Topic 1: The Greenium revisited: is there still a price for being green?

Short description: Empirically, green assets appear to outperform brown assets in the 2010s. The literature has found several reasons why green firms outperformed, such as investor preference changes and media attention. However, more recent literature argues that the outperformance weakened or even reversed. This is a good replication-and-extension thesis. Re-estimate the Greenium on the extended sample or just on the more recent subsample, where the market for sustainable assets has grown enormously. There are also interesting extensions such as studying the role of higher interest rates, especially on the long end of the yield curve that could yield potentially interesting results.

References:

Bolton, P., and Kacperczyk, M. (2021). Do investors care about carbon risk? *Journal of Financial Economics*, 142(2), 517–549.

Pástor, L., Stambaugh, R. F., and Taylor, L. A. (2022). Dissecting green returns. *Journal of Financial Economics*, 146(2), 403–424.

Thesis Topic 2: ESG confusion: why do rating agencies disagree and does it matter?

Short description: ESG ratings from different providers have often relatively low correlations for the same firm in the same year. A thesis could try to understand why rating agencies disagree, and whether this matters. For instance, it could measure the disagreement between several ESG providers for Nordic firms (or European firms) and decompose the differences in scope (which issues are measured), measurement (how is ESG scored) and what type of weighting is used, to try to understand which dimension matters most. One could even test whether disagreement in the ESG scores itself matters: do firms with more diverging ratings have higher return volatility, wider analyst forecast dispersion, or lower valuations?

References:

Berg, F., Kölbel, J. F., and Rigobon, R. (2022). Aggregate confusion: The divergence of ESG ratings. *Review of Finance*, 26(6), 1315–1344.

Berg, F., Fabisik, K., and Sautner, Z. (2021). Is history repeating itself? The (un)predictable past of ESG ratings (ECGI Finance Working Paper No. 708/2020).

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Thesis Topic 3: ESG in Sweden: investor preferences and capital flows.

Short description: A major share of the evidence on ESG investing is based on US data. Studying Sweden could add an interesting angle: Swedish households' financial market participations is very high; they are typically invested through the premium pension system and retail participation is large. Surveys also suggest that households have a preference for sustainability. Several questions could be used in theses. Do sustainable funds sold in Sweden charge higher fees, and do they deliver lower net returns? Do Swedish retail investors move money towards funds that receive a better

sustainability label? Does higher investor preference translate into high scrutiny and reduce “greenwashing”?

References:

Hartzmark, S. M., and Sussman, A. B. (2019). Do investors value sustainability? A natural experiment examining ranking and fund flows. *Journal of Finance*, 74(6), 2789–2837.

Ceccarelli, M., Ramelli, S., and Wagner, A. F. (2024). Low carbon mutual funds. *Review of Finance*, 28(1), 45–74.

Thesis Topic 4: Carbon tax or emissions trading? Comparing environmental policy tools.

Short description: Sweden has been very early in regulating carbon emissions. It introduced a firm-level carbon tax in the 1990s. However, it also joined the European Emissions Trading Scheme (ETS) in the 2000s, meaning some firms moved from carbon taxes to the ETS. This represents a unique setting to study both carbon regulation instruments side by side: installations covered by the EU ETS are largely exempt from the carbon tax, so otherwise similar firms face either a high but predictable tax or a volatile market price with, for many years, freely allocated allowances. The two systems have an interesting distinction. For instance, the carbon tax is relatively stable, and as such provides price certainty, while the ETS on the other hand does not. A thesis could compare emissions, energy intensity, investment and employment for ETS-covered versus tax-paying Swedish or European firms, or study sectors that moved between regimes as the ETS scope changed.

References:

Martinsson, G., Sajtos, L., Strömberg, P., and Thomann, C. (2024). The effect of carbon pricing on firm emissions: Evidence from the Swedish CO₂ tax. *Review of Financial Studies*, 37(6), 1848–1886.

Colmer, J., Martin, R., Muûls, M., and Wagner, U. J. (2025). Does pricing carbon mitigate climate change? Firm-level evidence from the European Union Emissions Trading System. *Review of Economic Studies*, 92(3), 1625–1660.

Thesis Topic 5: Mortgage rate pass-through and the choice between fixed and floating.

Short description: In Sweden, most new mortgages are floating rates and household debt is high relative to income. The mortgage market is therefore an important channel through which monetary policy is implemented and changes in rates reach households. A thesis could start from aggregate monthly data and ask two questions. First, how fast and how completely do policy rate changes show up in new mortgage rates, and does the speed differ across fixation periods? Second, household choice: does the share of new lending at floating rates respond to the level and the slope of the yield curve, and do households appear to time the fixation decision well or badly? A natural extension is cross-country: the share of fixed-rate mortgages differs enormously across Europe, from almost entirely floating in Sweden and Finland to almost entirely long-fixed in France and Germany, and asking whether pass-through is systematically weaker where fixation is longer connects the topic directly to the transmission of monetary policy.

References:

Badarinza, C., Campbell, J. Y., and Ramadorai, T. (2018). What calls to ARMs? International evidence on interest rates and the choice of adjustable-rate mortgages. *Management Science*, 64(5), 2275–2288.

Drechsler, I., Savov, A., and Schnabl, P. (2017). The deposits channel of monetary policy. *Quarterly Journal of Economics*, 132(4), 1819–1876.

Thesis Topic 6: Interest rate risk on bank balance sheets: lessons from 2023.

Short description: When policy rates rise, banks that hold long-dated securities and fixed-rate loans make losses, and these losses are not always visible in accounting equity. At the same time, depositors become more willing to move their money elsewhere. The failures of Silicon Valley Bank and First Republic in 2023 showed that the two forces interact: the banks with the largest unrealized losses were also those funded with the largest share of uninsured deposits. Several questions arise for a thesis. How large were the unrealized losses in the US banking system, and how were they distributed across banks? Which bank characteristics predicted deposit outflows and equity losses in the first half of 2023? And did markets price this exposure in advance, or only after March 2023?

References:

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